Marketing Processes
Case Study



Bercocca (Bayer Consumer Care Division) Case Study

Situational Analysis
Build into a swot and a product lifecycle
The Berocca brand was built on a recovery platform and became famous for its promise to 'Bring back your b b bounce'.
However, over time its iconic position had become eroded and Berocca's future was losing its fizz.
Sales had begun to stagnate and slide: between 2010 – 2013 value sales had declined by -18%, an average of -7% per year.
Famous for Hangovers Berocca had become a victim of its own success – it had become synonymous with one niche recovery occasion…. after a big night out. Whilst it was much loved as a 'hangover cure', this single occasion and infrequent usage was limiting the ability of the brand to grow.
Berocca just wasn't seen as relevant for regular consumption as part of a normal day.

Needed to identify a new occasion / market for Berocca to play in, and to change a well entrenched and loved brand association with 'big nights.'

Recovery market is crowded – multivitamins growth (heavy spending competitors like Bayer and Suisse), natural products, establishment of energy drinks, brands like Hairy Lemon, Nuun (electrolyte enhanced drink tab is gluten free, dairy + soy free, safe for clean sport, and made from plant based ingredients)

Research

Primary

Qualitative (foucs groups)

"I rarely use Berocca. I use it for recovery from a hard night out/hangover/after gym. It gives you a pep up. I know that from the ads. I don't need that now"

Brand required massive change - This would require a major switch in brand associations as the in-depth interviews and shopper research found that when consumers are looking for everyday support Berocca wasn't even in their consideration set (source: Digital Shopper Research, 2012).

Secondary

Australian Bureau of Statistics - 4364.0.55.007 - Australian Health Survey: Nutrition First Results - Foods and Nutrients, 2011-12

Dietary Supplements

In 2011-12, 29% of Australians reported taking at least one dietary supplement on the day prior to interview. Females were more likely than males to have had a dietary supplement (33% and 24% respectively), with the highest proportion of consumers in the older age groups. Multivitamin and/or multimineral supplements were the most commonly taken dietary supplements, being consumed by around 16% of the population with Fish oil supplements taken by around 12% of the population.

About the Survey

> The 2011–13 Australian Health Survey (AHS) is the largest and most comprehensive health survey ever conducted in Australia. The survey, conducted throughout Australia, collected a range of information about health related issues, including health status, risk factors, health service usage and medications. In 2011–13, the AHS incorporated the National Nutrition and Physical Activity Survey (NNPAS).

Marketing Objectives

Stem the sales decline and return the brand to growth by 2015-16. Target growth +5%

Increase frequency of usage for regular users by +15%

Drive relevance of the Berocca brand - evidenced by meaningful increases in top of mind awareness, and consideration.

Target Market

A new category and need state meant defining a new target audience. Digital shopper research indicated the brand had lost relevance with adults 28-35. Discovered that there was a large segment of this age group who are high achieving and living hectic lives – they are busy with work and full social life, but they enjoy the challenge of staying on top of it all. Bayer coined them Active Go-Getters. Qualitative research confirmed that they were the very segment a performance-MultiVitamin would resonate with the most – Berocca's energy benefit in

particular was relevant to motivation and preparation for the day ahead. (Source: Stent Qual 2013)

Existing users – increase frequency of use
It might not contain thymosin beta 4, but one in 10 Australians 14+ (10%) consumed a cocktail of riboflavine, thiamin, cyanocobalamin, biotin and niacin in 2015—aka Berocca, Roy Morgan Research shows.
Berocca consumption varies by age, but notably has two distinct peaks: it rises sharply from teenagers up 22-24 year-olds, when almost one in five (19%) take Berocca at least once in a 12-month period; the rate of consumption then declines throughout late 20s and 30s to just below the norm, but bounces back up throughout our 40s to a secondary peak of 15% among 45-49 year-olds before its popularity again declines.

Norman Morris, Industry Communications Director, Roy Morgan Research, says:
"The two peaks in consumption incidence—25 years apart—suggest an interesting trend for Berocca. The supplement's advertised energy-boosting potential appeals most at two stages of life: to younger people out and about, perhaps drinking (and getting hung over), uninterested in cooking 'performance-enhancing' meals, doing multiple sports, and studying hard or adjusting to full-time work with a gig at 11pm on a Tuesday; and those with bigger responsibilities and longer hours at work, with kids to chauffeur, a mortgage to pay, and a deck to repaint on the weekend.
"Overall, consumption of vitamins and supplements peaks at late 40s, when just over half of Australians report taking one or such products during the year, including those from Blackmores, Cenovis, Nature's Own and Swisse.
Also 8% more likely to follow AFL
***Source**: Roy Morgan Single Source, January to December 2015, n = 15,367 Australians 14+ including 1,195 who consumed Berocca in the past 12 months.*

Marketing Strategies

Product differentiation and positioning
The key to winning over active go-getters was better understanding of what gave them their bounce. Research uncovered a cultural insight that was used to strengthen the strategy: in an always-on world that never sleeps, active go-getters are on a quest to be their most productive selves. They seek out ways to do more and do it better, getting an edge on the competition both mentally and physically. They turn to brands that help them be their most productive self and conquer more than they thought possible. This was an important realisation and a connection back to the brand heritage and equity in restoration.

Even when the motivation for having a Berocca was to restore from a big night, behind this lay a need to perform better during the day. We were confident now in our repositioning opportunity: We would reposition Berocca from restoring from, to preparing to…. promising active go getters that Berocca was the performance multi-vitamin that would help you to 'perform at your best'.

Berocca is for more than getting over big nights – it's for getting ready to ace big days.

Promotions
Creatively focus was on the new positioning, with the line Big Days start with Berocca. This was used in all channels as the key message and new association for the brand. The media approach was informed by the need to drive mass awareness and high salience, thus TV was the lead medium, supported by social media.

Over the last four years there have been two versions of the Big Days idea: Big Days 1 (2013/4 & 2014/5) TV – FLIPPING OUR HERITAGE ON ITS HEAD The launch TVC featured a young go getter anticipating the ins and outs of his big day ahead, setting himself up for success by having a Berocca before it all begins. We used our hangover heritage to our advantage, opening with his work colleague noting the Berocca in hand and wrongly assuming he was recovering from a "big night" before our protagonist corrects him, "No, Big Day".

Big Days 2 - TV To broaden relevance beyond office workers, our go-getter protagonist was a landscaper about to embark on his big day.

E-Marketing
Facebook posts and digital banners helped reinforce the Big Days campaign, drive ongoing salience with the new target and prompt people to reconsider Berocca as a Big Day partner, instead of a recovery aid. We reinforced the Big Days idea with online content showcasing the different big days of all the people involved in making the TVC – hosted on www.berocca.com.au and pushed out through YouTube and Facebook. Called the Making of the big day

Implementation, Monitoring and Controlling
Big Days campaign successfully repositioned Berocca from hangover heritage to a necessary partner for big days, driving relevance with our target and increasing frequency by 14% and sales by 9%.
Increased usage - TNS Brand Tracking data shows regular use of Berocca increased a total of +3% throughout the duration of the Big Days campaign, despite category stagnation, eventually surpassing major competitors in 2016.

Increased TOM awareness - Berocca's TOM awareness increased +5% throughout the Big Days campaign despite decreased TOM awareness of top competitors Swisse and Blackmores. (Source: TNS Brand tracking data).

Increased Consideration - Berocca consideration also increased +6% over the course of the campaign, showing that more people were thinking about using Berocca than previously AND were considering Berocca more than top competitors.

Over the four years of Big Days thus far, ad awareness has grown significantly and in line with sales despite a 19% lower media spend compared to leading competitor Swisse (Source: PHD Media Spend Data 2016)

Clear usage shifts from hangover to performance Usage data from 2016 shows Aussies now perceive Berocca as much more than a hangover cure. It is a partner to prepare for a busy or important day, a pick me up, an energy boost and a daily vitamin. Importantly, these additional usages have not been at the expense of hangover cure as we retain this occasion too. (TNS Brand Tracking Data)

Show that in this section they continually traced the effectiveness of the repositioning and the ad campaign by monitoring sales and brand awareness and usage research data.

Big Days start with Berocca
https://www.youtube.com/watch?v=KtlyVJf5c4w

https://www.youtube.com/watch?v=uaxnI3b1RR0